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Zoetis, Inc. (ZTS)

Q1 2022 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Operator: Welcome to the First Quarter 2022 Financial Results Conference Call and Webcast for Zoetis. Hosting the call today is Steve Frank, Vice President of Investor Relations for Zoetis. The presentation materials and additional financial tables are currently posted on the Investor Relations section of zoetis.com. The presentation slides can be managed by you, the viewer, and will not be forwarded automatically.

In addition, a replay of this call will be available approximately two hours after the conclusion of this call via dial-in or on the Investor Relations section of zoetis.com. At this time, all participants have been placed in a listen-only mode and the floor will be opened for your questions following the presentation. [Operator Instructions] In the interest of time, we ask that you limit yourself to one question and then queue up again with any follow ups. Your line will be muted when you complete your question. [Operator Instructions]

It is now my pleasure to turn the floor over to Steve Frank. Steve, you may begin.

Steven Frank
Vice President-Investor Relations, Zoetis, Inc.

Thank you, operator. Good morning, everyone, and welcome to the Zoetis First Quarter 2022 Earnings Call. I am joined today by Kristin Peck, our Chief Executive Officer; and Wetteny Joseph, our Chief Financial Officer. Before we begin, I'll remind you that the slides presented on this call are available on the Investor Relations section of our website, and that our remarks today will include forward-looking statements, and that actual results could differ materially from those projections. For a list and description of certain factors that could cause results to differ, I refer you to the forward-looking statements in today's press release and our SEC filings, including but not limited to our annual report on Form 10-K and our reports on Form 10-Q.

Our remarks today will also include references to certain financial measures which were not prepared in accordance with Generally Accepted Accounting Principles or US GAAP. A reconciliation of these non-GAAP financial measures to the most directly comparable US GAAP measures is included in the financial tables that accompany our earnings press release and the company's 8-K filing dated today, Thursday, May 5, 2022. We also cite operational results which exclude the impact of foreign exchange.

With that, I will turn the call over to Kristin.

Kristin C. Peck

Chief Executive Officer & Director, Zoetis, Inc.

Thank you, Steve, and welcome, everyone, to our first quarter earnings call for 2022. Zoetis delivered a strong quarter to start the year with 9% operational revenue growth and 8% operational growth and adjusted net income, driven by the strength of our companion animal portfolio. We generated similar growth for both the US and International segments with 9% and 8% operational growth, respectively. Our strength across parasiticides, dermatology products, monoclonal antibodies and diagnostics are all capitalizing on the marriage of positive trends in petcare with customer-driven science coming from Zoetis. In the first quarter we grew 20% operationally in our companion animal portfolio. As we expected, our livestock portfolio continued to face challenges, declining 6% operationally in the quarter, largely due to declines in swine product sales in China and generic competition from Draxxin.

As we look at the rest of the year, we are updating our guidance to reflect the negative impact of recent changes in foreign exchange rates, but this has no impact on our previous operational growth rates and assumptions for the year. Even as we face uncertainties related to the war in Ukraine, COVID-19 lockdowns, inflation and ongoing supply chain constraints, we remain confident in the underlying strength and performance of our business. Our diverse portfolio, global scale, talented colleagues and continuous innovations remain the foundation of our long-term success and durability, and we continue to invest in the resources, marketing programs and manufacturing capacity we need to support our growth

In R&D, we're building new capabilities and pipelines across our companion animal and livestock portfolios to ensure our long-term performance. In the first quarter, we continued to receive approvals for new products and indications, develop lifecycle innovations for major brands, and expand our portfolios into new markets. On the livestock side of the business, we expanded our cattle vaccine portfolio with an approval in the US of Protivity, the first modified live vaccine to offer protection against Mycoplasma bovis. This vaccine provides cattle producers and veterinarians with broader overall protection against bovine respiratory disease.

We also gained approval in Brazil for Draxxin KP, which is also a treatment for BRD and combines the antimicrobial properties of Draxxin with the nonsteroidal anti-inflammatory ketoprofen to rapidly reduce fever in a single dose. Draxxin KP is also approved in the US, Canada and European Union, Australia and Mexico, and it has been an important part of how we continue to distinguish the Draxxin brand in the face of generic competition. In poultry, we received approval in Brazil for Poulvac Procerta HVT-IBD, our recombinant vector vaccine that is also approved in the US and Canada.

On the companion animal side of the business, we received another approval for Solensia, the industry's first monoclonal antibody for osteoarthritis pain in cats, adding Australia to the US, European Union, UK, Canada and

Switzerland. And another mAb therapy, Cytopoint, received a claim extension in Canada, so it now covers both the treatment of atopic dermatitis and allergic dermatitis in dogs. Cytopoint and Apoquel continue to grow significantly and expand the dermatology market as disease awareness and treatment options become more known to pet owners. We have a strong leadership position based on our innovative science, and do not believe competing products will come to market in 2022.

We also continue building our multipurpose diagnostics platform Vetscan Imagyst, with the recent addition of blood smear testing. Introduced in September, 2020, Vetscan Imagyst is a first of its kind technology with a multitude of applications, including AI fecal analysis, digital cytology image transfer, and now, AI blood smear, all helping veterinarians broaden their in-clinic diagnostic offerings to provide the best care possible for dogs and cats.

For the last two years, I've been speaking to you about our catalysts for growth, and those continue to drive our performance. Our outlook for growth in International markets remains very positive, based on our diverse global footprint and continued expansion opportunities for key brands like Simparica Trio, Apoquel, Cytopoint, Librela and Solensia.

In terms of Ukraine, we have condemned the Russian invasion from the outset, and we are deeply saddened by the senseless violence being brought upon the people of Ukraine. Our company, colleagues and the Zoetis Foundation have worked together to provide veterinary care, medicines, financial support and evacuation assistance to those in need. With every decision, even the most difficult and complex ones, we're guided by our purpose to nurture the world and humankind by advancing care for animals.

While we've suspended all investments and promotional activities in Russia, the continued care of pets and livestock remains an essential responsibility for Zoetis and our colleagues, and they remain focused on maintaining a critical supply of animal medicines and vaccines for veterinarians and producers there. We anticipate a negative impact of about 1% for our original full year growth expectations due to Ukraine and Russia. But we are maintaining our previous operational growth rates based on the overall strength of our companion animal business and the positive momentum of expanding our US petcare and diagnostic commercial teams.

Speaking of diagnostics, another catalyst for growth, we delivered 12% operational growth in the first quarter. We continue to invest significantly in this space to accelerate our growth. For example, we've been shifting our go-to-market model this year and building a dedicated field force for our diagnostics portfolio. This hiring is a significant part of a 40% increase to our total US companion animal field force. We see field force expansion as a key lever to supporting growth opportunities in our diagnostics and petcare businesses. We also continue to see very strong growth in petcare as we expand our major companion animal brands in markets around the world.

Simparica Trio is doing very well as it continues to gain market share, based on veterinarians' preference for an innovative triple combination parasiticide for dogs. Pet owners have also been demonstrating strong loyalty rates after trying Trio, and we are excited by the ability of our direct-to-consumer campaigns and additional field force colleagues to increase interest in this product. Librela is also doing incredibly well across Europe, and we remain confident in the blockbuster potential for Librela in 2022, and Solensia in the longer term. As we see improvements in supply, we will be launching Solensia in additional markets such as Canada and Australia this year.

In terms of the US, we are still planning a launch of Solensia in the second half of the year, and we anticipate approval for Librela by the end of the year, assuming FDA inspections are completed at facilities outside of the

US. Overall, we continue to benefit from petcare trends in terms of increased demand, clinic revenues, pet ownership and spending habits.

Finally, a brief update on supply. As I mentioned last quarter, we are managing certain isolated supply constraints for Librela, Solensia and some of our other products as we compete for some limited manufacturing inputs critical to human health during the pandemic. We are also seeing additional global supply challenges related to Russia's invasion of Ukraine and the recent COVID-19 resurgence in China.

While some of these challenges are expected to continue this year, we remain confident in our diverse portfolio and global manufacturing and supply network to mitigate any impacts to our overall business. And our commercial teams are ensuring controlled launches for new products and coordinating with customers to minimize any impacts on their animal care. In conclusion, we are off to a good start for the year, and we're maintaining our operational growth expectations for the full year. Our diverse and durable portfolio, global scale and pipeline of innovations have us well-positioned to meet customer needs and shareholder expectations for this year and beyond. Thank you.

Now, let me hand things off to Wetteny.

Wetteny Joseph

Executive Vice President & Chief Financial Officer, Zoetis, Inc.

Think you, Kristin, and good morning, everyone. As Kristin mentioned, we had a very strong start to the year with continued growth across a number of our core product franchises. Today, I will focus my comments on our first quarter financial performance, the key drivers contributing to our performance, and provide an update on our full year 2022 guidance. In the first quarter we generated revenue of $2 billion, growing 6% on a reported basis and 9% on an operational basis. Adjusted net income of $625 million grew 4% on a reported basis and 8% on an operational basis. Of the 9% operational revenue growth, 3% is from price and 6% from volume.

Volume growth of 6% consisted of 5% from new products, which includes Simparica Trio and Librela, 3% from key dermatology products, while other in-line products declined 2%. The decline in other in-line products was expected and largely the result of a difficult comparison to the prior year and the impact of our swine business in China. Companion animal products led the way in terms of species growth, growing 20% operationally with livestock declining 6% on an operational basis in the quarter. Our small animal parasiticides portfolio was the largest contributor to growth in the quarter where our innovative and diverse flea, tick and heartworm portfolio drove growth of 25% operationally.

Simparica Trio posted global revenue of $164 million, representing operational growth of 83% versus the comparable 2021 period. In Q1, Simparica Trio was the number one canine parasiticide sold in the US in terms of revenue, and we recently launched Trio in Japan, a sizable international heartworm market. Meanwhile our key dermatology products, Apoquel and Cytopoint, have significant global growth again, with $307 million of revenue representing 28% operational growth against a robust prior year in which key derm grew 24% in the first quarter.

In Europe, our recently launched monoclonal antibody Librela, which is for osteoarthritis pain in dogs, also meaningfully contributed to growth in the quarter, posting $21 million in sales. Our global diagnostics portfolio recorded $98 million in revenue and had operational sales growth of 12% in Q1, growing across both our US and International segments. Growth was largely driven globally by consumable usage and new products. We also continue to see growth in the placement of new devices in International markets. Diagnostics remains a key growth driver for Zoetis, and we continue to make significant investments in our field force, new technologies and reference lab expansion.

Our livestock business declined 6% operationally in the quarter. A revenue decline in China swine products was a result of both declining pork prices due to increased supply and a difficult prior year comparable. In the US, generic competition for Draxxin and unfavorable market conditions for producers, primarily resulting from elevated input costs, also led to a decline in cattle products. Our fish portfolio again grew double-digits in the quarter, and along with the strength of our other emerging markets, partially offset the broader decline. Overall, livestock performance in the quarter was in line with our expectations.

Now moving on to revenue growth by segment for the quarter. US revenue again topped $1 billion in the quarter, growing 9% with companion animal products growing 18% and livestock sales declining by 11%. US petcare vet practice trends continue to be positive with practice revenue growing approximately 5%, even in the face of challenging prior year comparisons, and the Omicron variant wave that impacted both visits and the availability of labor at clinics in January and February. Spending per visit increased 8% in the quarter, while visits declined 3%.

Underlying demand for veterinary care remains robust throughout the country even as people return to work. And we believe vet clinic revenue will continue to grow at levels above what we were seeing prior to COVID as the standard of veterinary care continues to increase through innovation, better demographics, higher compliance and more pets. Companion animal growth in the US was driven largely by sales from our parasiticide portfolio as well as key dermatology products. Growth of Simparica Trio was again strong in the quarter with sales of $147 million in the US, growing 77%.

We continue to meet our clinic penetration targets and take share within individual clinics with additional run rate for future revenue growth. Pet owner satisfaction with Trio is approximately 90%. Key dermatology product sales were $194 million for the quarter, growing 23% with Apoquel and Cytopoint each significantly contributing to growth. Our investments to support the portfolio have been instrumental in driving more patients into the clinic, and we'll continue to invest meaningfully in the space as the large portion of dogs with dermatitis remain undertreated, representing an opportunity to further expand the market.

In an effort to support all of our long-term sustainable sources of growth in our companion animal portfolio, in April we launched our new petcare go-to-market strategy, expending our US companion animal field force by approximately 40% and creating dedicated and separate diagnostic [ph] informal (17:55) coverage for our portfolio of products. US livestock declined 11% in the quarter, primarily resulting from our cattle business. This was expected as we experienced challenges from generic competition for Draxxin, which didn't exist in the same quarter last year, as well as elevated input costs continuing to weigh on producer profitability.

Meanwhile our poultry business continues to be negatively impacted by the extended use of lower cost alternatives resulting from reduced disease pressure from smaller flock sizes, as well as generic competition for Zoamix. Swine product sales grew in the quarter as a result of favorable market conditions for producers and higher disease prevalence. Moving on to our International segment where revenue grew 3% on a reported basis and 8% operationally in the quarter. Companion animal revenue grew 23% operationally and livestock revenue declined 3% operationally. Increased sales of companion animal products resulted from growth of our key dermatology products, monoclonal antibodies for alleviation of AA pain, and our parasiticide portfolio.

Some of our key brands continue to benefit from our International direct-to-consumer campaigns in Latin America and parts of Europe, and we remain excited with the long-term prospects of these programs. We are encouraged by the performance of our monoclonal antibodies for OA pain with Librela generating $21 million and Solensia delivering $3 million in first quarter sales. Librela remains on track to exceed $100 million in revenue this year. As we mentioned last quarter, Librela became the number one pain product in the EU in the first year of launch, with the underlying performance metrics being very favorable for future growth.

Reordering rates remain at around 90%, compliance exceeded our initial expectations, and we continue to see significant opportunity to extend the pain market with meaningful percentage of dogs on Librela being new to the market. Meanwhile, International livestock declined 3% operationally in the quarter. This decline was driven predominantly by our swine portfolio in China. As we indicated over the past several months, increased pork supply in the market led to a significant decline in pork prices, which impacts producer profitability. In addition, our first quarter of 2021 presented difficult comparative period as pricing and producer profitability in that quarter had been at an all-time high.

While we expect China to return to growth in the back half of the year, we anticipate a challenging segment quarter for our swine portfolio. Partially offsetting our decline in swine was growth in our fish, poultry and cattle portfolios. Our fish portfolio grew double-digits again this quarter driven by growth of the Alpha Flux sea lice treatment product and Alpha Ject LiVac vaccine for SRS in Chile. Sales of cattle products grew in key markets due to favorable market conditions and pricing in Brazil and Australia as well as demand generation efforts in emerging markets such as Turkey and China.

Now moving on to the rest of the P&L for the quarter. Adjusted gross margin of 71.6% improved 60 basis points on a reported basis compared to the prior year, resulting from favorable product mix, price, foreign exchange and lower inventory charges. This was partially offset by higher manufacturing and freight. Adjusted operating expenses increased 14% operationally with SG&A growth of 16% operationally, driven by head count-related compensation costs, G&A, advertising and promotion, as well as direct to pet owner campaigns for key brands. R&D expenses increased 4% operationally due to higher compensation costs.

The adjusted effective tax rate for the quarter was 18.9%, a decrease of 20 basis points driven by the impact of favorable discrete tax items and settlements with certain tax authorities, slightly offset by changes in the jurisdictional mix of earnings. And finally, adjusted net income grew 8% operationally and adjusted diluted EPS grew 9% operationally for the quarter. Capital expenditures in the first quarter were $115 million. We are still anticipating a significant increase in capital expenditures for the full year 2022 primarily related to investments in Ireland, the US and China to support manufacturing capacity needed to meet our long-term growth demands. In the quarter we returned over $0.5 billion to shareholders through a combination of share repurchases and dividends. We repurchased approximately $361 million of Zoetis shares, representing our largest dollar-based quarterly share repurchase ever.

Now moving on to guidance for the full year 2022. Foreign exchange rates on our updated guidance are as of late April and reflect the recent strengthening of the US dollar. Please note that any update to our full year guidance are related directly and only to foreign exchange, and that the ranges of our operational growth rates for revenue of 9% to 11% and adjusted income of 10% to 13% remain the same as our previous February guidance. We are holding these top and bottom line operational growth rates the same despite the conflict in Russia and Ukraine negatively impacting our expected full year operational growth by 1%. We feel we can offset this impact with the strength of our companion animal portfolio.

Beginning with revenue for the full year 2022, we are decreasing both the low and high end of the range by $100 million to reflect the impact of foreign exchange. We are now projecting revenue of between $8.225 billion and $8.375 billion, while maintaining our expected operational growth of 9% to 11%. For adjusted net income for the full year 2022, we are decreasing both the low and high end of the range by $50 million to reflect the impact of foreign exchange. Adjusted net income is now expected to be in the range of $2.365 billion to $2.420 billion, while maintaining our expected operational growth of 10% to 13%. And finally, we expect adjusted diluted EPS to be in the range of $4.99 to $5.09 and reported diluted EPS to be in the range of $4.65 to $4.77.

Sales of companion animal products will be the primary growth driver in 2022 with the continued strength of our diverse parasiticide portfolio, further expansion of our key dermatology products, the adoption of our monoclonal antibodies for OA pain and growth in point-of-care for diagnostics. We also continue to see a very favorable global companion animal backdrop for 2022. For livestock, the fundamental macro trends which make animal protein an essential business remain intact, and we believe more normalized growth will occur in 2023.

While guidance represents our expectations for the full year, I would like to provide some color on the expected phasing of growth for the remainder of 2022. We expect top line operational growth for Q2 to be slightly below Q1 as regional restrictions related to COVID-19 in China temporarily pressure day-to-day business and certain supply chain activities. We also expect a similar foreign exchange impact in Q2 that we experienced in Q1, where reported revenue was negatively impacted by about 3%. In addition, the significant investments we are making early in the year to support future revenue growth, including field force expansion in the US and incremental DTC advertising, will drive OpEx growth in Q2 at a faster rate than revenue, impacting Q2 bottom line profitability more materially than in the back half of the year.

We expect that foreign exchange in Q2 will have a negative impact to the bottom line of about 5%. Our full year 2022 guidance once again reflects our value proposition of growing revenue in line with or faster than the market and growing adjusted net income faster than revenue. Our success is derived from our diversified portfolio of enduring brands driven by multiple sources of in-line growth and agile and disciplined innovation engine, and an infrastructure to develop and expand markets globally. We try to continue to execute across multiple dimensions of our business and capitalize on favorable end market dynamics for the foreseeable future.

Now, I'll hand things over to the operator to open the line for your questions. Operator?

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] Our first question is coming from Erin Wright of Morgan Stanley.

Erin Wilson Wright
Analyst, Morgan Stanley & Co. LLC

Q

Okay. Thanks for taking my questions. I have one on companion animal trends that I have to ask here. What are you seeing at the clinic level if you could parse out a little bit more of what you're seeing across the US and International in terms of demand trends, what you're seeing in terms of capacity constraints at the vet clinic level, and what is implied in your guidance at this point in terms of operational growth across the companion animal segment.

And then a follow up on Trio. I guess, where do you stand now in terms of market share in canine parasiticides at this point? And how much do you think Simparica Trio is taking share versus expanding the market with greater compliance? Thanks.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Hey, Erin. It's Kristin. Great to hear from you. So we fundamentally and structurally believe the petcare industry is in great shape. I think if you've seen some of these trends over the last few years, there's a very high standard of care. The demographics of who is adopting these pets over the last few years being millennials, the number of pets you have out there and, honestly, the aging of pets. So we do not think there is a demand problem.

I think you saw on the quarter potentially a difficult comp to what you saw last year. As you look overall, a 5% increase at the vet clinics, there is a little bit less traffic, as you referenced. I think those were some of those shorter-term capacity constraints. But remember, we've got a lot more pets. So really the base is much larger than it's historically been. But given Omicron, there was definitely some challenges at some of the vet clinics.

But the other thing to consider about the data that we would just highlight is that it really pulled out a lot of the large corporates who have found more innovative ways to structure their business to add more capacity, and I think you'll see more of that coming overall. There were the short-term labor shortages.

The other thing to really focus on we would say is, if you look at Zoetis' business, it's a little different, the nature of our business and our innovation. We have a lot of chronic medications. It doesn't require tons of visits. So we focus a little bit more on the spend per visit as we look at it. We also have alternative channels, which for us in the quarter grew 34%. So we remain very optimistic with regards to petcare trends overall. And maybe, Wetteny, you can take her second question on Simparica.

Wetteny Joseph
Executive Vice President & Chief Financial Officer, Zoetis, Inc.

A

Yeah. Sure. Erin, look, very pleased with the performance of Simparica Trio posting $164 million of revenue in the quarter, up 83%. It became the number one canine parasiticide in the US. And as we shared before, we have 90% penetration across large corporate accounts, et cetera. And within those penetrated clinics, we continue to take share as well. Satisfaction level with our products is about 90% among pet owners. And we also just launched Simparica Trio in Japan, which is a key heartworm market as well, just in this quarter. So very pleased with the performance of Trio.

Operator: Our next question comes from Christine Rains, William Blair.

Christine Rains
Analyst, William Blair & Co. LLC

Q

Hi. Thanks for the question. I was just wondering if I could have an update on diagnostics contribution to the quarter and overall performance. Is growth tracking with your expectations? And can you comment on systems placement versus testing volume growth, and if you made any additional reference lab purchases? Thank you.

Wetteny Joseph
Executive Vice President & Chief Financial Officer, Zoetis, Inc.

A

Yeah. Sure. I'll take this, Christine. Thanks for the question. Look, I'm very pleased with the performance of our diagnostics business in the quarter. We grew 12%, posting $98 million of revenue. Really saw strong growth across both US and International, both replacements as well as consumables. And so we're very pleased with the performance of the business. In terms of reference lab acquisitions, we did not have any in the quarter. Obviously, we made a number of acquisitions in the US and continue to make investments across technology. You might have seen images, for example, we've added additional indications here with blood smear, in addition to fecal and digital cytology. So we continue to be very pleased with the performance of the business.

Operator: Our next question comes from Louise Chen, Cantor.

Louise Chen
Analyst, Cantor Fitzgerald & Co.

Q

Hi. Congratulations on the quarter, and thanks for taking my question. Just curious what has been the impact of inflation on your animal health business, both companion and livestock. And how do you see potential increase in inflation, or continued inflation impacting your business going forward? Thank you.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Thanks, Louise. I'll start, and then I'll move it to Wetteny. We've seen historically that pet owner spending has been incredibly durable. Right now we've got about 63% of our revenue in companion animal. And you sometimes can see a little more impact from inflation on the livestock side. But if you look at the HABRI research, 86% of pet owners would spend whatever it takes. So we do see inflation. And Wetteny can certainly get into how we've taken price, et cetera. But I think we've obviously seen increase in labor cost and freight and fuel. But Wetteny can really talk about the fact that we've been able to leverage price, especially in our companion animal business. So Wetteny, do you want to go over some of those numbers?

Wetteny Joseph
Executive Vice President & Chief Financial Officer, Zoetis, Inc.

A

Yes. Sure. Given we continue to see very strong underlying demand from pet owners, we have very innovative products across our portfolio. We've been able to demonstrate that we can take price at or above inflation levels in the past, and we don't see any reason why we wouldn't do that now. If you look at this quarter, for example, our total growth included 3% of price. Now, if you parse that out and you look at just companion animal globally, we took 6% of price. And so we'll continue to use that lever as we proceed. But given the dynamics Kristin just mentioned, underlying strength in the market will continue to have that [ph] availability (33:20) to us.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

And the only thing I'd add there is, despite inflation, I would just note that in 2021 we increased our margins, and our guidance for 2022 does the same. So I think it really shows the durability and resilience of our industry.

Operator: Our next question comes from Nathan Rich of Goldman Sachs.

Nathan Rich
Analyst, Goldman Sachs & Co. LLC

Q

Hi. Good morning. Thanks for the questions. Kristin, I'd be curious to get your view, following up on the commentary you had on just vet visit trends and vet spending trends, do you see more variability in sales for your products that are administered, need to be administered by the vet, and can you just remind us how big of a percentage of your companion animal business that is? And then a quick follow up for Wetteny. It looks like the revenue guidance came down by $100 million. It looks like operating profits maybe down by $50 million. So it seems like a high decremental margin on the revenue reduction. I guess, does that just reflect kind of the composition of the expense base? Just to be curious, kind of any color you can shed on that dynamic. Thank you.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. Nate, I'll start to answer your first question. Again, if you look at our overall portfolio and the nature of our business, I think the level of innovation, we're not as susceptible to vet visit trends. You [indiscernible] (34:44), what percentage has to be administered in the vet clinic? I don't know, maybe around 50%. That would be vaccines, injectables. But I think if you look at the sales of Librela being now the number one pain product in Europe, clearly, for things that are really important to pet owners, they are getting into the clinic. Regular checks for vaccines, we're not seeing any significant negative trends there. So I think chronic medications, which is a huge part of our business, and if you look at dermatology and parasiticides, which are growing at – paras are growing at 25% in the quarter, derm at 28% in the quarter. We're clearly not really suffering from the slight decline in the US in vet visits trend. But maybe, Wetteny, you can take that second question.

Wetteny Joseph
Executive Vice President & Chief Financial Officer, Zoetis, Inc.

A

Yeah. Sure. As we've said, we've revised our guidance solely to reflect our FX. We continue to maintain our operational guidance range, both top and bottom for the company, that we came into in February that we gave. So from an FX perspective, top line impact was about 3%. It's about $260 million of an impact. And as you referenced, the change, reflecting the change in FX has a wider impact on the bottom. And that's really largely driven by FX gains and losses given our exposure across certain currencies, particularly the euro. If you look at the first quarter, for example, you see a wider impact at the bottom than you see at the top driven by the impact of that as well.

Operator: Our next question comes from Michael Ryskin of Bank of America.

Michael Ryskin
Analyst, BofA Securities, Inc.

Q

Hey, guys. Thanks for taking the question and congrats on a strong result. I want to start with livestock markets. I mean, we've known livestock was going to be weak for a while, and so it's not a huge surprise. But still, I just want to get an update on how you're seeing a couple of factors there going, both Draxxin, are you still sort of projecting lapping the tough comps around the summer, and sort of what are your expectations for Draxxin exiting this year and next year? And then broader conditions such as drought in the Midwest and the United States, rising input costs, sort of how do you see that playing out for US livestock and internationally?

And then a follow-up question for Wetteny, if I might. You guys touched a number of times in the prepared remarks on field force expansions, investing in growth, investing in opportunities in companion animal. Just wondered if you could go into a little bit more detail on how that's going to play out, when do you see that showing up in the numbers? When do you think you'll start seeing the payoff for that. And then just sort of talk about labor pressures, wage pressures, how that affects your thought process there. Thanks.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Great. Mike, I'll take the first part which is the broader livestock trends, and then Wetteny can take the Draxxin and the field force question that you've got. As you know well, historically livestock has grown around 4%. I think if you look at 2019 and 2020, you saw sort of some unusual events that affected overall industry livestock growth, obviously, African Swine Fever in China, as you remember, and then overall COVID. But then as I think, if you look at 2021 and 2022, Zoetis has been unusually impacted, and that has everything to do with where Draxxin is. And Wetteny can get into the numbers, but that has played out exactly how we expected it to. Our long-term outlook, as Wetteny mentioned a few minutes ago in his prepared remarks, remains unchanged. We think you're going to start to go back to more normalized growth in 2023 and beyond, basically because feeding the world is a powerful trend, the desire for protein and higher quality protein. But let me let Wetteny get into some of the specifics on the Draxxin numbers and then your second question.

Wetteny Joseph
Executive Vice President & Chief Financial Officer, Zoetis, Inc.

A

Yeah. So as you said from the very beginning with respect to Draxxin, we expect it to have about a 20% impact to the top line in the first year, and another 20% in the second. So we're seeing across livestock right now is playing out exactly as we thought. In fact, in 2021, we did little bit slightly better than that with respect to Draxxin, and we continue to have the positive effects of livestock innovation by Draxxin KP, and we're maintaining most of our volume. And the margins for Draxxin remain very attractive for us as well. So as we expected, we're seeing competitors come in, but the performance has been at or slightly better than we expected.

Broadly speaking, I think, if you look at swine, for example, in China, that was a pretty significant impact on the quarter with respect to livestock. Again, we expected that coming in, and it's really looking at where swine prices are in China versus a year ago, where they were at all-time highs and then at all-time lows essentially here, and the lockdowns are having an impact on sort of demand function as well in this case. So with respect to the field force, if I can transition to that part of your question, very pleased to be able to expand our field force here. We have the broadest portfolio across the market.

And if you look at innovation that we have coming as well with respect to the pain franchises for Solensia that we are broadly launching across the second half of this year, and as we get approval for Librela and launch that as well in the US, we continue to have opportunities to really capitalize on the market dynamics and the strong demand that we see, and have additional field force, which we see a strong return on those as well. We also are launching a dedicated field force for diagnostics separate and apart from our [ph] Rx (40:20) teams which we believe will have again a very positive return for us as well. Now, you could see that, with those plans we still have an operationally levered P&L where we're growing bottom line above the top line, so top line at 9% to 11% and the bottom at 10% to 13% with approximately a 40% increase in our field force.

Operator: Our next question comes from Jon Block of Stifel.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Great. Hey, guys. Good morning. Maybe just a couple of quick ones. For US Librela approval, was that a slight push, Kristin, to year-end 2022 from mid-2022? If it was, maybe just if you could elaborate on what still needs to get done there for approval? And if it is year-end 2022, how are you from a supply standpoint, do you think that product will be ready for early 2023 US launch?

And then maybe just as a quick follow-up, Wetteny, can you talk about the supply chain and costs and how you feel there? Companion animal is expected to be a big year-over-year in 2022. So you've got this positive mix shift. You've got price running ahead of what it normally does. I think you called out 3% versus 1% last year. And GM is still expected to be flattish. So just would love some color on how you're feeling on the supply chain. Thanks.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. Thanks, Jon. I'll start with the first question and let Wetteny take the second. With regard to Librela, no, this is exactly as we expected. We were expecting an approval later this year. We continue to expect that. As we [ph] wrote in remarks, (41:50) there's no change there. We still require an ex-US site visit as we've said all along. So I would say, there's really no update there.

And to your second question, when would you expect a launch, we're obviously, as we would any product, working to build up supply. But as always, in our industry and especially with regard to biologics and monoclonal antibodies, the standard in our industry is it takes somewhere between three and nine months to get up to a full launch. So I think what you should expect next year [ph] is we'll (42:15) obviously similar to what we've done for every other product that's a monoclonal antibody. We'll do an early experience sometime in the first half, again depending on when the approval is, and a launch shortly thereafter.

We're quite excited about this. Obviously, we're working hard to build up that supply as soon as we get the approvals of the site, et cetera. So everything on Librela is exactly where we were before, really absolutely no change there.

Wetteny Joseph
Executive Vice President & Chief Financial Officer, Zoetis, Inc.

A

Yeah. And I'll take the supply chain part of your question, Jon. Look, our supply chain has proven to be very resilient despite challenging elements over the last couple of years. We delivered 15% operational growth last year with 14% of that being volume. So we've proven ability to continue to navigate through those. Currently, we are looking at China, for example, where the lockdowns have had an effect certainly in our first quarter, and we see that in our second quarter as well, which is why we included those in our prepared commentary around Q2 expectations. But in terms of price, we are pulling that lever, as you saw, 3% total for the company.

On the companion animal side, which now is about 63% of our company if you look at the first quarter, companion animal has grown almost 50% over the last two years if you look back to 2019 levels. So again, very strong market dynamics and demand. We do see the mix shift being very positive for us with more companion animal and with our innovative products that are launching as well. But we do have some offsets when you look at livestock, particularly Draxxin, as we just talked about, in line with our expectations, but certainly are giving price and maintaining the volume, and as I said, still at attractive margins for us. But that's really the main offset if you look at it across the year.

Operator: Our next question comes from Balaji Prasad of Barclays.

Balaji Prasad
Analyst, Barclays Capital, Inc.

Q

Hi. Good morning, and thanks for the questions. [indiscernible] (44:10) companion and livestock, firstly, on atopic dermatitis, I estimate that you're currently probably have around 35% of market share in the US between Cytopoint and Apoquel. So what percent of the incremental market is allergic dermatitis, and does this market open for you as you get the label extension? On the same subject, do you also have an update on your oral JAK inhibitors which is expected to come later this year, how that would influence the market share, if at all?

On the livestock side, could you quantify if there are any opportunities that are coming to you through the Chinese consumption shifting towards beef and poultry vis-à-vis swine, or is there not much of a trend there? Thanks.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. I'll start on the overall derm. If you saw, it grew about 28% in the quarter driven by expanding our direct-to-consumer efforts. Certainly, you see we're investing more in our field force Petcare Rewards. I also think genuinely it's just more people home with their pets. I don't have the specific share numbers; we can certainly get back to you on that. I think it's over 70% in the US, our share of the atopic dermatitis and allergic dermatitis markets overall in the US. And especially, it's even more if you want to look at revenue. But we're really pleased with where that's going.

With regards to the competition, I know our favorite question, we don't absolutely know. We would expect competition on this. At this point in time as we look at 2022, we are not expecting competition in 2022. We would expect it in 2023 as our latest intelligence. Obviously, we could be wrong there, but our current expectation is competition for derm on a small molecule basis will come in 2023.

With regards to our own pipeline internally, we don't discuss that. So I don't think we have any color there. But I don't know, Wetteny if you want to take the second question.

Wetteny Joseph
Executive Vice President & Chief Financial Officer, Zoetis, Inc.

A

Yeah. Sure. Just one thing to add on the first one. For us, really when we look at derm, it's less about market share, it's a lot more about market expansion. There's certainly an opportunity, when we look at the number of dogs that suffer from itchiness that are not being treated, about 6 million. And of the 7.6 million that are being treated, a good portion of them are undertreated with either antihistamines or steroids. So we do think there's an opportunity with respect to the undertreatment there.

Now I'll shift over to your question around livestock, particularly around China. We have seen an increase in beef consumption here, which certainly benefits us when you look at our business in Brazil, for example, that exports into China from a beef perspective, as well as in China sort of activities. And so in terms of in China, it's still relatively small compared to swine, for example. But we are seeing good trends there that are favorable to us.

Operator: Our next question comes from Chris Schott of JPMorgan.

Chris Schott
Analyst, JPMorgan Securities LLC

Q

Great. Thanks so much for the questions. Just two from me. First, can you just remind us about your sensitivity to economic growth? I know you're seeing very healthy demand in the companion side right now, and you've been able to take price. But if we enter a mild recession in some parts of the world, particularly Europe, what type of pressures would you anticipate, if any, to your business from that?

My second one was on protein demand. I know you've touched on this in a couple of other questions, but it does seem like we're entering kind of a challenging macro environment with food prices growing very rapidly, especially in the emerging markets. Do you see that as a risk at all in terms of global protein demands and consumers trading down on protein that could kind of dampen kind of your livestock recovery as we look out to kind of 2023 and beyond? Thanks so much.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. Thanks, Chris. Good to hear from you. As you think about the economic challenges, potential economic risks across the globe, I think one thing you've seen about the animal health industry, as I was referencing before, the research is, 86% will spend what it takes. And I think it's also really important to focus on the fact that our companion animal business has grown 50% between 2019 and 2021. As Wetteny mentioned, it was about 63%. And that is just a more durable business as you think about getting through economic challenges. We grew through the beginning of COVID, for example. As you look at it, we've grown during the Great Recession, and that was when our companion animal business was only 35%. So I think structurally, if you look at our business, it's more positive now than it was during the Great Recession. So I do think we're going to be pretty resilient as we go through those times. But I'll let Wetteny add anything there if he wants to and then take your protein demand trend question.

Wetteny Joseph
Executive Vice President & Chief Financial Officer, Zoetis, Inc.

A

Yeah. I think you covered it well in terms of companion animal. It's a bigger percentage of our business now. It's proven to be very resilient. And structurally with respect to demographics, we have more Gen Z and millennials owning pets, more pets. And if you look across our portfolio, number of chronic conditions that we're treating that are very resilient even as we've seen in the past and structurally even stronger now. With respect to livestock, you do see the potential for people to trade down in proteins going from beef down to chicken or pork and et cetera. So we do think that can happen in terms of looking across the globe. We do have a broad portfolio across different species, obviously. But that is one of the areas that we think is a little bit less than what we see in companion animal words. It's extremely resilient.

Now, we do overall though, when you look at protein consumption, we do see that growing over time, particularly as you look across emerging markets, growing populations, increase in sort of disposable income, et cetera, and growing middle class across different markets. We see those continuing to maintain growth with respect to protein consumption. We do have the pandemic, which actually has been negative from a livestock perspective. I think folks look at the pandemic and think about the positive effects on the companion animal side, but that has actually been largely negative. And so we do believe that in addition to our Draxxin, which we've talked about, we do anticipate a return to growth in livestock as we get out into 2023, 2024 timeframe.

Operator: Our next question comes from Steve Scala of Cowan.

Steve Scala
Analyst, Cowen & Co. LLC

Q

Thank you. You mentioned enhanced spending per pet. Our understanding is that, this is due to two things, enhanced compliance and catch up in routine wellness checks. Is that what you've seen? If so, how much does each contribute? How much does enhanced compliance contribute versus catch up in routine visits? The concern is that the catch up in routine visits would seem like a one-time boost. And if that's the case, then what are the long-term implications of no longer getting that boost and just enjoying the trends of the enhanced compliance?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. I mean, I guess what we would say is that, you're seeing more animals, you're seeing, as Wetteny has mentioned, the demographics of who is adopting these animals, people who spend more time, more money on them, the aging of pets. So I'm not sure we would probably parse the data the way you do to be perfectly honest. Obviously, we are seeing increased compliance. I think alternative channels, sort of online and auto ship even from clinics is really helping driving that increased compliance.

But I would say, if you look at our portfolio, it's innovation. It's bringing disruptive innovation that people are excited about. Looking at paras, a single product that does three things, people are excited about it. You look at monoclonal antibodies, you look at dermatology, we have great chronic medications that are not as susceptible to how many visits you make. If you get a prescription for paras, it lasts a year. So I guess, we would look at the data slightly differently than what you're looking at it. And more importantly for our business, we think the nature of our business and the level of innovation and the demographics of both the number of animals and whose is adopting them remains very positive.

Wetteny Joseph
Executive Vice President & Chief Financial Officer, Zoetis, Inc.

A

Yeah. I would say, it's a combination of just increased standard of care for animals, particularly for pets, that's aided by the innovation that's come out of Zoetis across derm and parasiticides and now with pain. And the demographics of the owners that actually put a premium on the health of their pets that's driving this. And I think people are doing more in those visits as well, which is driving sort of the revenue per visit figures that you see, which is again, part of the reason that we don't think the visits themselves are as meaningful as the spend per visit.

Operator: Our next question comes from Elliot Wilbur of Raymond James.

Elliot Wilbur
Analyst, Raymond James & Associates, Inc.

Q

Thanks. Good morning. I want to ask a question around the EU launch experience and dynamics today with respect to Librela and Solensia. Just how some of the early experience is shaping expectations for the US launch, areas of over underperformance, where you've been positively surprised. And just thinking about dynamics such as persistence, do you have any sense of the number of patients started on therapy that are returning for follow up injections? Librela's share of new patient starts, and I know it's still relatively early, but is – or are you seeing or are you expecting to see an increase in overall patient volumes from the launch of these products? And then just as a quick follow up here, how important was or is the mAb opportunity in the US in terms of driving your decision behind the sales force expansion? Thanks.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. Thanks, Elliot. Great questions on Librela. We are super excited at the launch there. To get to some of the specific information you asked for, as we said, this is now Librela in Europe is now the number one selling product for pain. What's really exciting also about that is, 40% are patients that are new to the category. So I think this is really changing the game for a lot of people who maybe for safety reasons couldn't take what the other products were are really coming into the vet clinic. And to get your other question, there's a 90% reorder rate, so which gets at, if you come in for one injection are you staying with the product? The answer is yes. And this is why we believe in its first full year in Europe alone, Librela will be a blockbuster product for us.

We did about $22 million in Q1. This definitely does inform, as we think about US launch, it informs why we want to start with early experience, getting into the vets, especially the KOLs, used to what it looks like, how to treat, how to manage it, and then really building that excitement, which worked incredibly well for us in Europe, which we'll do again in the US. And really, I think our expectations for the product have increased based on the success we've seen already. Solensia, we're very excited as well. It's a very different market, it didn't exist before. As we've talked about, we're really creating a market. Zoetis has demonstrated time and again its ability to do that as it did in derm. But again, you've got to get the cats to the clinic. As you know, they're less medicalized than dogs. You've got to help cat owners know what pain looks like. But we remain super excited about Solensia. It will just be, as we said, the ramp looks slightly different on Solensia than it does with Librela. But we're just as excited, and we think its potential is very strong there. Do you want to add anything, Wetteny?

Wetteny Joseph
Executive Vice President & Chief Financial Officer, Zoetis, Inc.

A

No. Just part of the question on the field force, I wanted to just make a comment on which is, look, we have the broadest portfolio, as I mentioned before. And we continue to add innovative products to that. And so we carefully analyze sort of the coverage across clinics and across products for our field force, and are very confident that this is an investment that's going to yield positive returns for us across our product fleet – existing products, opportunities to expand in the existing products as well as new products that are coming on.

Operator: This concludes our question-and-answer session at this time. I'd be happy to return the call to Kristin Peck, CEO, for any including remarks.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

Great. Thank you all for your questions and for the continued interest in Zoetis. I just want to summarize. I think Zoetis is off to a strong start of the year. We've got continued strength in products for petcare, and I think as you've seen a diverse and durable global portfolio. We're really happy to be maintaining our operational growth expectations for the full year despite the negative impact of foreign exchange and other headwinds. And we're condemning to make ongoing investments in talent and technology, manufacturing expansions and innovation that have us well-positioned to support our future growth plans as well. So I look forward to keeping you updated on future calls and hope you have a great day. Thanks so much, everybody.

Operator: This does conclude today's Zoetis Q1 2022 earnings call and webcast. You may now disconnect. And everyone have a great day.